

Under the Finfluence

The Securities and Exchange Board of India has made its intentions crystal clear by getting on the offensive in its fight against unregistered financial influencers or finfluencers. But it must tread a fine line



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I**T IS A TRUTH**, almost universally acknowledged, that technological change is always a few steps ahead of regulations. The capital markets are no exception, which is why regulators the world over are a busy lot as they try to keep pace with the changes.

Whether it is India's own Securities and Exchange Board of India (Sebi), the Securities and Exchange Commission (SEC) of the US, the Financial Conduct Authority (FCA) in the UK, or the Australian Securities & Investments Commission (ASIC), one particular concern appears to be on top of their minds—the growing influence of financial influencers, or finfluencers.

Put simply, these are individuals who influence the financial investment decision of a person or entity by doling out content typically through social media platforms like YouTube, Instagram, Telegram, or X (formerly Twitter).

In India, finfluencers barged onto the capital markets arena in 2020, when they received a significant boost after the Covid-19 pandemic and